

clearly enough in which category a particular issue belongs.) The items marked "I.P." are to be used in studying an investment preferred stock, and those marked "S.P." in studying a speculative preferred. Where there are junior income bonds, the simplest and most satisfactory procedure will be to treat them in all respects as a preferred stock issue, with a footnote referring to their actual title. Such contingent bond interest will therefore be excluded from the net deductions or the fixed charges.

In this tabular comparison we follow the suggestion previously offered that the effective debt be computed by capitalizing the larger of net deductions or fixed charges. In using the table as an aid to the selection of senior issues for investment, chief attention will be paid to items 22 and 23 (or 22 "I.P." and 23 "I.P."), showing the average margin above interest (and preferred dividend) requirements. Consideration should be given also to items 6, 7 and 8, showing the division of total capitalization between senior securities and junior equity. (In dealing with bonds, the preferred stock is part of the junior equity; in considering a preferred stock for investment, it must be included with the effective debt.) Items 10 and 19 should also be examined to see if the earnings have been overstated by reason of inadequate maintenance or by the inclusion of unearned dividends from subsidiaries.

Speculative preferred stocks will ordinarily be analyzed in much the same way as common stocks, and the similarity becomes greater as the price of the preferred stock is lower. It should be remembered, however, that a preferred stock is always less attractive, logically considered, than a common stock making the same showing. For example, a \$6 preferred earning \$5 per share is intrinsically less desirable than a common stock earning \$5 per share (and with the same prior charges), since the latter is entitled to all the present and future equity, whereas the preferred stock is strictly limited in its claim upon the future.

In comparing railroad common stocks (and preferred shares equivalent thereto), the point of departure is the percentage earned on the market price. This may be qualified, to an extent more or less important, by consideration of items 10 and 19. Items 12 and 18 will indicate at once whether the company is speculatively or conservatively capitalized, relatively speaking. A speculatively capitalized road will show a large ratio of net deductions to gross and (ordinarily) a small ratio of common stock at market value to gross. The converse will be true for a conservatively capitalized road.